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ACC 101: Introduction to Financial Accounting - Double Entry to Trial Balance

Learn the accounting cycle by doing it, one transaction at a time

FACULTY PRIMER

Faculty Primer

Faculty of Management Sciences
Accountancy | 100L

Written for students, by students.

Practical notes, worked examples, practice questions and a revision plan.

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Why this pack exists

Accounting is a skill, not a set of definitions. This pack walks you through the accounting equation, double entry, books of original entry, the trial balance and simple final accounts, with worked transactions you can replicate on paper.

This is a student-written study companion, not a reproduced lecture handout or a leaked examination paper. Use it to organise the topics you are taught, practise the kind of thinking your course rewards, and walk into class with better questions.

What you will be able to do

- Apply the accounting equation to record transactions correctly.
- Post transactions using double entry and balance a ledger account.
- Prepare a trial balance and identify errors it will not reveal.
- Prepare a simple income statement and statement of financial position.

How to use this pack

1. Skim the whole pack once in 20 minutes so you know what is inside.
2. Work through one section at a time with your lecture note and recommended text beside you.
3. Attempt the practice questions before reading the answers. Mark what you missed.
4. Use the final checklist to plan your revision week, one tick per study session.

> **Free to download, always**
> This pack is free. There is no fee, no subscription and no payment step before download, and the full PDF is not watermarked or locked. Share the link with a coursemate instead of forwarding the file.

> **Confirm your official course outline**
> Course codes, credit units and outlines can differ by department and session. Treat this pack as supplementary support and confirm the current outline with your lecturer, course rep or departmental handbook before an assessment.

The accounting equation

Every transaction preserves the relationship assets equals liabilities plus capital.

- Assets are resources controlled by the business; liabilities are obligations to outsiders; capital is the owner's residual interest.
- Increase in an asset is a debit; increase in a liability or capital is a credit.
- Expenses reduce capital and are debits; income increases capital and is a credit.
- Drawings reduce capital and are debits to the drawings account.
- Every transaction affects at least two accounts and keeps the equation in balance.

- Write the equation after every transaction until it is automatic.

> **Debit does not mean good**
> Debit simply means the left side of an account. Stop attaching moral meaning to it and the confusion disappears.

Books of original entry and the ledger

Transactions are first recorded in day books, then posted to the ledger, then summarised in the trial balance.

- Sales day book for credit sales; purchases day book for credit purchases.
- Returns inwards for goods returned by customers; returns outwards for goods returned to suppliers.
- Cash book combines cash and bank; treat it as both a book of original entry and a ledger.
- Journal entries record adjustments, corrections and non-routine transactions with narrations.
- Post to the relevant ledger accounts and balance them at the period end.
- Extract the trial balance from ledger balances to check arithmetic equality.

Errors and final accounts

A trial balance that balances is not proof of accuracy. Some errors cancel out.

- Errors not revealed: omission, commission, principle, original entry, reversal and compensating errors.
- Errors revealed: one-sided posting, wrong addition and transposition between accounts.
- Suspense accounts hold the difference until the error is found and corrected.
- Income statement: revenue minus cost of sales gives gross profit; minus expenses gives net profit.
- Statement of financial position: assets, liabilities and capital at a point in time.
- Adjust for accruals, prepayments, depreciation and closing inventory before finalising.

The accounting equation and double entry

Financial accounting records transactions and reports their effect on a business. Everything rests on the accounting equation: assets equal liabilities plus capital. Every transaction affects at least two elements, which is why the system is called double entry, and why the trial balance should always balance.

Debits and credits are not good and bad; they are left and right. Assets and expenses increase on the debit side; liabilities, capital and income increase on the credit side. Learn the direction for each category once, and the rest follows mechanically.

The journal records the transaction with its narration, the ledger groups entries by account, the trial balance lists balances, and the financial statements report the result. Each stage is a check on the previous one.

Preparing the statements